Q. Which are the key areas that the FM should address in the 2023-24 Budget and why?



● **NIRANJAN HIRANANDANI:** The maximum marginal rate of tax for an individual who does very well is 42 per cent, as against 15 and 25 per cent for corporate entities, and 35 per cent for partnerships. That means a person who is actually an entrepreneur has to create companies and partnerships to save tax. This needs a correction. The other thrust should be on investment in the economy. It has to be doubled. We need to get into double-digit GDP growth in the next three years. To achieve that, investment has to come from the government and the private sector. Yes, they're doing it; they need to do more.

● **AJIT RANADE:** Pause the populism. We're just coming out of COVID. We have come out of the huge extension of the free food programme. The fiscal situation is definitely not ideal. This is the last full budget before the general election in 2024; so there will be a temptation to go massively populist in this budget. We definitely need a huge upswing on the private sector capital expenditure or investment. We need a special focus on the MSME (micro, small and medium enterprises) sector, because they are the real contributors to industrial growth, export and employment. I would like to see a special focus on exports too, because while it's true that the world is going to be in a recession this year, India's share of world trade is just about 1 or 2 per cent. Even if we double it to 4 per cent, that's a 100 per cent growth for us. So I think exports, MSMEs and private sector capex should be the thrust areas.

● **D.K. JOSHI:** I would say fiscal rectitude, and the reason for it is threefold. First, India has the highest debt-to-GDP ratio among similarly rated countries. So, you need to bring it down. Second, the government has made a commitment of sorts by saying that it wants to reduce the deficit to 4.5 per cent of the GDP by 2025-26. You have to be on that path. Third, the RBI is trying to control inflation by curbing demand. If you become fiscally irresponsible, you'll be working against that. So, you need to have a policy complementary to RBI's policy of controlling inflation. This doesn't mean not doing investment, but curbing subsidies and avoiding populism so that you have money to spend on investment.

● **MADAN SABNAVIS:** With inflation at around 20 per cent for the past three years, the salaried class definitely needs a tax break. Our consumption has slowed down as purchasing power dropped due to inflation. Therefore, the tax exemption limit should be linked to inflation. Every time inflation goes above 5 or 6 per cent, the exemption limit also goes up.

● **SUNIL BADALA:** We have been talking about big labour reforms, but there has to be enactment and implementation, because it is intended to bring a lot of clarity and consistency across the country. Second, Indian companies trying to access overseas markets should be allowed to do so. On the tax part, I think it's possible, looking at the way our tax